

**Superior Court of the State of California
County of Orange**

**Tentative Rulings
Law and Motion Calendar
Department C23
Honorable David J. Hesseltine**

Hearing Date and Time: June 16, 2026, at 10:00 a.m.

Court Reporters: Official court reporters (i.e., court reporters employed by the court) are **NOT** typically provided for law and motion matters in this department. If a party desires a record of a law and motion proceeding, it is that party's responsibility to provide a court reporter, unless the party has a fee waiver and timely requests a court reporter in advance of the hearing (see link at end of this paragraph for further information). Parties must comply with the Court's policy on the use of privately retained court reporters, which may be found at the following link: [Civil Court Reporter Pooling](#). For additional information regarding court reporter availability, please visit the court's website at [Court Reporter Interpreter Services](#).

Tentative Rulings: The court endeavors to post tentative rulings on the court's website no later than 12:00 noon on the date of the afternoon hearing. Tentative rulings will be posted case by case on a rolling basis as they become available. Jury trials and other ongoing proceedings, however, may prevent the timely posting of tentative rulings, and a tentative ruling may not be posted in every case. Please do not call the department for tentative rulings if one has not been posted in your case.

The court will not entertain a request to continue a hearing or any document filed after the court has posted a tentative ruling.

Submitting on Tentative Rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the courtroom clerk or courtroom attendant by calling (657) 622-5223. Please do not call the department unless **ALL** parties submit on the tentative ruling. If all sides submit on the tentative ruling and advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under California Rules of Court, rule 3.1312.

Non-Appearances: If no one appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The court also may make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

Appearances: Department C23 conducts non-evidentiary proceedings, such as law and motion hearings, remotely by Zoom videoconference pursuant to Code of Civil Procedure section 367.75 and Orange County Local Rule 375. Any party or attorney, however, may appear in person by coming to Department C23 at the Central Justice Center, located at 700 Civic Center Drive West in Santa Ana, California. All counsel and self-represented parties appearing in-person must check in with the courtroom clerk or courtroom attendant before the designated hearing time.

All counsel and self-represented parties appearing remotely must check-in online through the court's civil video appearance website at

<https://www.occourts.org/media-relations/civil.html> before the designated hearing time. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available at <https://www.occourts.org/media-relations/aci.html>. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also are available at <https://www.occourts.org/media-relations/aci.html>. Those procedures and guidelines will be strictly enforced.

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#	Case Name Case Number	Tentative
1.	Landmark Research Group, LLC vs. Shea 2026-01561746	Before the court is the petition of petitioner Landmark Research Group, LLC (Petitioner) to compel contractual arbitration. As more fully set forth below, the petition is DENIED WITHOUT PREJUDICE. Code of Civil Procedure section 1290.4, subdivision (a), requires a petition to compel arbitration and notice of hearing to be served on the opposing party in the manner provided in the arbitration agreement. If the agreement does not provide a method of service and the respondent has not appeared in the case, section 1290.4, subdivision (a), requires the petition and notice of hearing to be served in the same manner as a summons if service is made in California. If service is made outside of California, service may be made by certified or registered mail and a signed return receipt is required. Here, Petitioner has failed to file a proof of service showing the petition or a notice of hearing was served on respondents Bart Shea, Bermite Recovery, LLC, Remediation Financial, Inc., or Shea-Connelly Development, LLC (collectively, Respondents). Petitioner has not identified any provision in the alleged arbitration agreement that dictates a particular method of service for this petition,

		nor has Petitioner provided any evidence to show where service may have been made, if at all. Moreover, it is unclear whether any of Respondents entered into an arbitration agreement with Petitioner. The agreement that is attached to the petition is a letter agreement by Petitioner addressed to Richard R. Thomas, Esq. of Smith LC in Mesa, Arizona. There is a signature line for "Approved, Responsible Party," but there is no indication who the "Responsible Party" is and the signature is not legible. Moreover, assuming the signature is that of Bart Shea, there is no evidence or other indication how that signature binds any of the other Respondents. The letter also does not include all the identified enclosures. The petition therefore is DENIED WITHOUT PREJUDICE based on the lack of service and proper notice, as well as the failure to establish the existence of an arbitration agreement between Petitioner and Respondent. The foregoing are not necessarily all the petition's shortcomings, but they are sufficient to support its denial. Any future petition will require much greater detail and evidentiary support as well as proper notice and service. Petitioner's counsel is ordered to give notice of this ruling.
2.	McPhatter vs. Fastrak Credit Corp. 2026-01563881	Before the court is the petition to compel arbitration and for monetary sanctions filed by petitioner Vardell James McPhatter (Petitioner). As more fully set forth below, the petition is GRANTED and Petitioner is awarded sanctions against respondent Fastrak Credit Corp. (Respondent) in the reduced amount of \$1,815. The drafting party of an arbitration agreement who fails to timely pay arbitration fees is in material breach of the arbitration agreement and waives its right to compel arbitration, provided the consumer properly files the demand and the arbitration provider properly provides invoices to all parties to the arbitration. (Code Civ. Proc. § 1281.97, subd. (a).) In such event, the consumer may either withdraw the claim from arbitration and proceed in a court of appropriate jurisdiction or compel arbitration in which the drafting party must pay reasonable attorney fees and costs related to the arbitration. (Code Civ. Proc. § 1281.97, subd. (b).) In addition, the consumer is entitled to reasonable attorney fees and costs incurred as a result of the material breach. (Code Civ. Proc., § 1281.99, subd. (a).) Here, Petitioner produced the parties' Conditional Sale Contract and Security Agreement which contains an

		arbitration provision that covers this dispute. (Compendium of Evidence (COE), Exh. 1 at pp. 7-8.) Petitioner is a consumer and Respondent is the drafting party. Petitioner initiated arbitration with JAMS pursuant to the arbitration agreement by filing the demand for arbitration and paying his portion of the fees. (COE, Ex. 1 at p. 7, Exhs. 3, 4; McPhatter Decl. ¶ 2.) JAMS invoiced Respondent to pay for its portion of the arbitration fees, but Respondent failed to do so, causing JAMS to close the file. (COE, Exhs. 4-7.) Petitioner has shown Respondent is in material breach of the arbitration agreement and is in default of the arbitration, such that Petitioner is entitled to compel arbitration pursuant to Code of Civil Procedure section 1281.97, subdivision (b). Petitioner also is entitled to sanctions for reasonable attorney fees and costs in bringing this motion. (Code Civ. Proc., § 1281.99, subd. (a).) The court finds the amount of fees and costs already incurred by Petitioner is reasonable, but the amount of anticipated fees is excessive in light of the fact no opposition was filed. The court therefore reduces the amount of anticipated fees by \$630 and awards the total amount of \$1,815 in favor of Petitioner and against Respondent payable within 30 days of service of notice of this ruling. Petitioner's counsel is ordered to give notice of this ruling.
3.	<i>Gamo vs. J Star Auto Group, Inc.</i> <i>2017-00942930</i>	Before the court is the motion by defendants J Star Auto Group, Inc. (JStar) and Jared Merrell (collectively, Defendants) for an award of attorney fees following the remittitur issued by the Court of Appeal on October 17, 2025. For the reasons set forth herein, the motion is DENIED. On December 15, 2022, the court entered judgment in favor of Defendants and against plaintiff Tirso Gamo (Plaintiff) on all causes of action. During this litigation, Defendants were jointly represented by Vivoli Saccuzzo, LLP. Plaintiff filed the case on September 11, 2017. On July 20, 2018, JStar served requests for admissions, set one, on Plaintiff, which included request nos. 1-54. Plaintiff served responses on August 27, 2018. On January 18, 2019, JStar served requests for admissions, set two, on Plaintiff, which included request nos. 55-71. Plaintiff served responses on to those requests on October 10, 2019. Plaintiff denied some of these various requests for admissions (and also withdrew some admissions that were initially made).

		Following trial, Defendants filed this motion seeking to recover cost of proof fees and expenses under Code of Civil Procedure section 2033.420, and also prevailing defendant attorney fees and costs under the Consumer Legal Remedies Act (CLRA). Defendants argued Plaintiff's CLRA claim were inextricably intertwined with his other claims such that there was no need to allocate Defendants' fees and expenses as between Plaintiff's CLRA claims and his other claim, or between fees recoverable for cost of proof and fees recoverable under the CLRA. As originally filed, Defendants sought \$321,728 in fees plus a multiplier of 1.5 for a total fee award of \$482,592. The trial court denied the motion in its entirety, finding the unilateral fee provision applicable to Plaintiff's financial elder abuse claim barred Defendants from recovering their fees under any other statutory provision. Defendants appealed. The Court of Appeal reversed in part and affirmed in part, finding the unilateral fee provision applicable to Plaintiff's financial elder abuse claim barred Defendants' attorney fees request under the CLRA, but that unilateral provision did not bar Defendants from recovering cost of proof expenses and fees if they made all necessary showings. Because the trial court did not otherwise address the merits of Defendants' cost of proof fees request, the Court of Appeal remanded the matter for the court to consider that request on the merits. Following remand, and recognizing Code of Civil Procedure section 2033.420 is the only basis for the expenses and fee request, Defendants dropped their request for a multiplier and reduced the fees they seek from \$321,728 to \$314,203. Defendants explain they are seeking all attorney fees incurred from the date JStar served its first set of requests for admissions. Section 2033.420 states as follows: "(a) If a party fails to admit the genuineness of any document or the truth of any matter when requested to do so under this chapter, and if the party requesting that admission thereafter proves the genuineness of that document or the truth of that matter, the party requesting the admission may move the court for an order requiring the party to whom the request was directed to pay the reasonable expenses incurred in making that proof, including reasonable attorney's fees. "(b) The court shall make this order unless it finds any of the following: "(1) An objection to the request was sustained or a
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		response to it was waived under Section 2033.290. "(2) The admission sought was of no substantial importance. "(3) The party failing to make the admission had reasonable ground to believe that that party would prevail on the matter. "(4) There was other good reason for the failure to admit." The party seeking cost of proof fees "must show they spent the amounts claimed to prove the issues [their opponent] should have admitted. [Citations.] The requested amounts must be segregated from costs and fees expended to prove other issues. [Citations.] [¶] Costs of proof are recoverable only where the moving party actually proves the matters that are the subject of the requests. [Citation.] This means evidence must be introduced. [Citation.]" (<i>Grace v. Mansourian</i> (2015) 240 Cal.App.4th 523, 529–30.) Only expenses resulting from the responding party's failure to admit the requests for admissions are awardable. Therefore, expenses and fees incurred before the requests were denied are not awardable under Code of Civil Procedure section 2033.420. (<i>Garcia v. Hyster Co.</i> (1994) 28 Cal.App.4th 724, 736; <i>Wimberly v. Derby Cycle Corp.</i> (1997) 56 Cal.App.4th 618, 638.) As advised by Weil & Brown, California Practice Guide: Civil Procedure Before Trial (The Rutter Group 2025) at paragraphs 8:1413.1a and 8:1413.1b, "An accounting is required (e.g., by declarations from moving party's counsel) setting forth the hourly fees and time spent to 'prove' the specific matters denied, as opposed to time spent in preparation for trial generally or in proving other matters at trial of the case. [<i>Garcia v. Hyster Co.</i> (1994) 28 CA4th 724, 737, 34 CR2d 283, 290—conclusionary statements by counsel not sufficient] [¶] . . . Carefully track your time and costs associated with proving matters on an issue-by-issue (RFA-by-RFA) basis to facilitate granting of your motion for compensation. But the 'statute does not require that fees and costs must be separately allocated to each specific request for admission, particularly not where, as here, virtually all the requests relate to a single issue.' [<i>Association for Los Angeles Deputy Sheriffs v. Macias</i> (2021) 63 CA5th 1007, 1030-1031, 278 CR3d 487, 507-508 (also noting that counsel's declaration re fees compiled under his direction was not inadmissible hearsay).]"
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		Here, Defendants have made no effort to segregate the fees expended to allegedly prove the specific matters identified in the requests for admissions Plaintiff denied and other matters and other work performed. Indeed, Defendants seek attorney fees for all work performed from the date JStar propounded its first set for admissions. For example, Defendants seek attorney fees for their unsuccessful summary judgment motion and in opposing Plaintiff's summary judgment. Section 2033.420 authorizes the recovery of attorney fees and expenses incurred to prove the matter that was denied in the requests for admissions. Nothing in either summary judgment motion proved any matter that was denied in the requests for admissions. Defendants apparently contend if Plaintiff had admitted the requests for admissions, Defendants would have prevailed on their summary judgment motion and there would have been no need for a trial. So, not only are Defendants entitled to all their attorney fees incurred at trial, they are entitled to all attorney fees they incurred from the date JStar propounded its first set of requests for admission—i.e., all but \$7,525 (\$321,728 minus \$314,203) of the attorney fees Defendants incurred. Defendants cite no authority to support this incredibly broad interpretation of section 2033.420, and the statutory language does not support it. Similarly, Defendants make no attempt to segregate the fees incurred in defending JStar and the fees incurred in defending Merrell. None of the fees billed defending Merrell can be the basis for a cost of proof sanction. The requests for admissions were served by JStar only, and therefore cost of proof sanctions can be recovered only for time spent defending JStar. The statute does not authorize another person to obtain cost of proof sanctions. (Code Civ. Proc., § 2033.420; <i>Design Built Sys. v. Sorokine</i> (2019) 32 Cal.App.5th 676, 694–95.) Certainly, there was overlap, and likely significant overlap, in the fees incurred in defending JStar and Merrell, but there is no showing they were identical and the burden on this motion is on Defendants. Further, there has been an insufficient showing the content of any particular request for admission denial was subsequently proven at trial. For example, request for admission no. 5 asked Plaintiff to "Admit YOU initialed each page of the CONTRACT on September 11, 2016." Although Defendants cite to deposition testimony where Plaintiff was
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		asked if he signed the contract, there is no citation to evidence showing he ever stated he initialed the contract. Moreover, although counsel states the “testimony was ultimately read into evidence” (Saccuzzo Supp. Decl. ¶29), the trial transcript is not attached and there is no explanation as to what the context was in which it was read into evidence. For example, JStar failed to show where it was required to expend time at trial or otherwise proving Plaintiff initialed the contract. Additionally, several of the requests for admissions ask for admissions as to Plaintiff’s mental capacity to understand the contract he was signing. Defendants argue this resulted “in considerable litigation” but there is no explanation as to which time entries reflect work proving facts which were denied. Although Defendants cite to the deposition of Dr. Trader as evidence contradicting the denials, all that Dr. Trader said was that he did not know “Mr. Gamo’s level of cognitive impairment” on the date he signed the contract. In opposition, Plaintiff points to a tentative ruling of the court on Plaintiff’s request for admissions motion which discusses evidence supporting denial of the requests for admissions and that Plaintiff had a reasonable belief he would prevail on the issue. Again, Defendants argue that if the requests for admissions had been admitted, they would have prevailed on their summary judgment motion. (Motion at 12:12-15.) Defendants, however, fail to prove that is the case. It would be error for the court to rely on “a conclusionary statement of counsel.” (<i>Garcia v. Hyster Co.</i> (1994) 28 Cal.App.4th 724, 737.) In addition to the foregoing, the Defendants have failed to segregate which time was spent proving the facts relating to the requests for admissions in set one as opposed in set two. Also, only fees incurred after the denial are recoverable and therefore the Defendants’ request for fees starting on the date the first set of requests for admissions was served is improper. (<i>Wimberly v. Derby Cycle Corp.</i> (1997) 56 Cal.App.4th 618, 638.) In short, Defendants have numerous fatal failures in their showing to support this motion. They fail to show precisely what facts Plaintiff denied they were forced to truly prove at trial. They appear to assume that because they prevailed at trial they necessarily proved every fact Plaintiff denied in the cited requests for admissions. Indeed, nothing is presented to show what Defendants proved at trial. Moreover, there is no attempt to differentiate between the
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		fees that were incurred to prove the matters Plaintiff denied and the fees that were incurred on all other issues and proceedings in the case. Contrary to Defendants' contention, there is no authority for them to recover all their fees because they believe they would have prevailed on summary judgment. Based on the foregoing, the motion is DENIED. Plaintiff's counsel is ordered to give notice of this ruling.
4.	<i>Litrinium, Inc. vs. Adas</i> 2021-01210846	Before the court is (1) the motion of plaintiff and cross-defendant Litrinium, Inc. (Litrinium) for order confirming stay of enforcement of judgment pending appeal, and (2) the application of defendant and cross-complainant Abdelnaser Mohammad Adas (Adas) for order to show cause re contempt for failure to comply with the non-monetary terms of the judgment. In his application, Adas seeks an order to show cause as to why Litrinium should not be held in contempt of court for failing to comply with the non-monetary component of the judgment, which required Litrinium to issue share certificates confirming Adas's founder's shares. By its motion, Litrinium seeks an order confirming an automatic stay of the judgment arose pursuant to Code of Civil Procedure section 916 upon Litrinium filing its notice of appeal from the judgment and that stay prevents Adas from enforcing the judgment against Litrinium pending the outcome of the appeal. Litrinium's opposition to Adas's application argues the same point—i.e., Litrinium cannot be held in contempt for failing to comply with the judgment because the judgment is stayed pending the outcome of Litrinium's appeal. Hence, both Litrinium's motion and Adas's application present the same issue—i.e., does Litrinium's appeal from the judgment give rise to an automatic stay of enforcement or must Litrinium post a bond in order to obtain a stay. Before Litrinium filed its notice of appeal, it filed an earlier motion to stay enforcement of the judgment under Code of Civil Procedure section 918, which authorizes trial courts to issue a discretionary stay. In connection with that earlier motion, Litrinium sought not only a stay of enforcement of the judgment, but also asked the court to stay any efforts by Adas to move for an award of attorney fees. The court denied that motion, finding Litrinium had not convinced the court of section 918's applicability or that the facts and circumstances of this case warranted a stay. In their briefing, all parties made some arguments regarding the existence or non-existence of an automatic stay in this

		case. Among other things, Adas argued there was no automatic stay because Code of Civil Procedure section 917.2 applied and required Litrinium to post a bond in order to stay enforcement pending appeal. In denying Litrinium's motion, the court focused on the applicability of section 918 and Litrinium's failure to convince the court a discretionary stay was appropriate. The court also commented section 917.2 required a bond to stay enforcement of a judgment that directs the assignment or delivery of personal property and California law treats corporate stock as personal property. The court finds it appropriate to revisit its comments regarding the existence of an automatic stay and the applicability of section 917.2 in deciding Adas's application for an OSC and Litrinium's current motion regarding a stay. The court's comments were not essential to its ruling denying the earlier motion because the motion sought a discretionary stay, and therefore the comments essentially were dicta. Regardless, the court possesses the inherent power to reconsider its prior rulings at any time prior to entry of judgment. Here, all these proceedings are post-judgment so the entry of judgment does not prevent the court from revisiting its earlier comments. Moreover, at the time the court denied Litrinium's earlier motion, the court stated it would consider further argument regarding any stay in this case. Finally, the existence of an automatic stay affects the court jurisdiction to take action enforcing the judgment and the existence of jurisdiction is a question the court must consider every time it acts. (See <i>Varian Medical Systems, Inc. v. Delfino</i> (2005) 35 Cal.4th 180, 196-197.) Adas's request for an OSC re contempt allows Litrinium to argue in defense that the judgment was stayed. Pursuant to Code of Civil Procedure section 916, subdivision (a), "Except as provided in Sections 917.1 to 917.10, inclusive, and in Section 116.810, the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order, but the trial court may proceed upon any other matter embraced in the action and not affected by the judgment or order." An appeal is "perfected" when a notice of appeal is timely filed. (<i>Kroger Co. v. Workers' Compensation App. Bd.</i> (2012) 210 Cal.App.4th 952, 959.) Hence, filing an appeal automatically stays enforcement of a judgment unless one of the exceptions identified in Code of Civil Procedure sections 917.1 to 917.10 applies.
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	Litrinium contends no recognized exception to section 916's automatic stay applies in this case, and therefore the stay arose upon Litrinium filing its notice of appeal. Adas argues section 917.2 applies such that there is no stay without the posting of a bond—and no bond has been posted. As noted above, section 917.2 provides there is no stay of enforcement absent a bond "if the judgment or order appealed from directs the assignment or delivery of personal property, including documents, whether by the appellant or another party to the action." Adas relies on case law recognizing California treats corporate stock as personal property (see, e.g., <i>Holistic Supplements, LLC v. Stark</i> (2021) 61 Cal.App.5th 530, 542), and therefore concludes section 917.2 applies and requires a bond because the judgment requires and directs Litrinium to issue share certificates reflecting Adas's founder's shares. Although the court initially agreed with that assertion, upon further reflection and consideration the court concludes that is based on too simplistic of a view of the judgment. The judgment granted Adas declaratory relief against Litrinium finding Adas's founder's shares are valid and outstanding continuously since March 2016, and directing Litrinium to properly issue share certificates to Adas reflecting his shares. The judgment also found Litrinium breached the Restricted Stock Purchase Agreement by refusing to recognize the validity of Adas's shares. The statement of decision orders Litrinium to recognize Adas's shares. The physical shares the judgment directs Litrinium to issue and deliver to Adas are the evidence of the ownership interest in Litrinium to which Adas is entitled. The judgment and statement of decision, however, do not simply require Litrinium to issue and delivery the shares and nothing more. Rather, the judgment and statement of decision also require Litrinium to recognize all the rights and interests Adas has as the owner of the shares, and therefore as a partial owner of Litrinium. The rights include voting rights, access to records, and distributions (when and if made), to name a few. In connection with its earlier motion, Litrinium suggested the issuance of the shares was a ministerial act and a mere recognition or declaration of rights Adas always has had since March 2016. Litrinium, however, has not allowed Adas to exercise any of the rights associated with his shares based on Litrinium's assertions Adas was not entitled to the shares. Even though the judgment recognizes Adas has been entitled to the shares and the
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		associated rights since March 2016, he has never been able to exercise those rights. Accordingly, the judgment includes an injunction that not only requires Litrinium to issue Adas his shares, but more importantly, requires Litrinium to recognize and allow Adas to exercise the rights that come with those shares. Whether an appeal from a judgment imposing an injunction is automatically stayed depends on the nature of the injunction. A prohibitory injunction—i.e., one that restrains action, rather than requires it—is not automatically stayed because it merely maintains the status quo. A mandatory injunction—i.e., one that requires the enjoined party to take affirmative action—is automatically stayed because it changes the status quo. (<i>Daly v. San Bernardino County Board of Supervisors</i> (2021) 11 Cal.5th 1030, 1035 (<i>Daly</i>).) Although this rule and the distinction between a mandatory and prohibitory injunction may be easy to state, the case law recognizes it is not always easy to apply. (<i>Id.</i> at p. 1041.) Indeed, often times a mandatory injunction can be stated in prohibitory language, and vice versa. It therefore is important to look to the injunction’s impact or substance. Our Supreme Court has long recognized an automatic stay reaches injunctive “orders requiring the defendant ‘to do some affirmative act, not to refrain from doing a thing’ [because] an affirmative act, ‘if completed, would change the condition of the parties, and render a reversal . . . partially ineffectual.’ [Citation.] By contrast, when an order instead merely restrains the defendant, an automatic stay on appeal does not serve the same purpose; the defendant ‘is not injured in contemplation of law’ when the defendant is required to abide by the restraint pending appeal. [Citation.] [Accordingly,] . . . ‘[a] stay of proceedings, from its nature, only operates upon orders or judgments commanding some act to be done, and does not reach a case of injunction.’ [Citation.]” (<i>Daly, supra</i>, 11 Cal.5th at p. 1040, quoting <i>Merced Mining Co. v. Fremont</i> (1857) 7 Cal. 130, 132.) Courts generally are directed to “consider[] whether the order was mandatory by reference to the position of the parties at the time the injunction was entered, and declined to require the defendant to take affirmative steps to remedy an adjudged violation of law until the correctness of the judgment had been considered on appeal. . . . [T]his approach makes sense, given the doctrine’s overarching concern with avoiding injuries ‘from the premature enforcement of a determination which may later be found
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	to have been wrong.’ [Citation.]” (<i>Daly, supra</i>, 11 Cal.5th at p. 1044.) Here, as stated above, Litrinium has never recognized Adas’s shares and he has never been able to exercise the rights associated with those shares. The injunction requires Litrinium to recognize Adas’s shares and allow him to exercise his rights based on those shares. That changes the status quo and leads the court to conclude the injunction is mandatory in nature and therefore subject to an automatic stay without Litrinium posting a bond. Although California law recognizes corporates shares as persona property and section 917.2 requires a bond to stay enforcement of a judgment that directs the assignment or delivery of personal property, the judgment in this case goes beyond directing the delivery of personal property and requires Litrinium to take affirmative steps that would change the status quo. Those steps include not only the various steps Litrinium identifies in its motion to issue the shares, but more importantly, the steps necessary to allow and accept Adas’s exercise of his rights as the holder of his founder’s shares. In its earlier ruling, the court stated, following the judgment in Adas’s favor, Litrinium should not be able to block Adas’s exercise of his shareholder rights without posting a bond. That statement, however, is consistent with the governing principles as stated in <i>Daly</i>. Adas also argues the Legislature has made clear its view shareholders enjoy their rights during appeal. Specifically, because Code of Civil Procedure section 917.8 provides an appeal does not automatically stay enforcement of a judgment ordering a corporation to permit a shareholder to inspect or make copies of corporate records, Adas asserts an appeal from any judgment affecting substantive shareholder rights should not be subject to an automatic stay. Adas overstates the importance of section 917.8. That statute identifies four otherwise unrelated instances in which perfecting an appeal does not stay proceedings. One of those instances is when a judgment directs a corporation to give a shareholder an opportunity to inspect and copy corporate records. (Code Civ. Proc., § 917.8, subd. (b).) The other instances relate to judgments (1) finding a party guilty of usurping, or intruding into, or unlawfully holding a public office, (2) finding a building or place to be a nuisance and directing the closing or discontinuance of the use, (3) granting relief under certain provisions of the Penal Code of Health and Safety Code regarding places where certain illegal activities occur or that constitutes nuisances. (Code Civ. Proc., § 917.8, subds. (a), (c), (d).) Nothing in
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		section 917.8 extends it bar on an automatic stay to any other type of shareholder rights. Based on the foregoing, Adas’s application for an OSC re contempt as to why Litrinium should not be held in contempt is DENIED. This court is without jurisdiction to enforce an order or judgment by contempt when an appeal from the underlying order or judgment has been taken that stays enforcement. (See, e.g., <i>Gold v. Superior Court</i> (1970) 3 Cal.3d 275, 278, 287.) As stated above, the court concludes Litrinium’s appeal automatically stayed enforcement of the judgment as a judgment imposing a mandatory injunction. As such, Litrinium cannot be held in contempt for not issuing the shares or otherwise acknowledging Adas’s shareholder rights as stayed in the judgment until the appeal is finally resolved. As for Litrinium’s motion, it is DENIED AS MOOT. As stated above, the court denies Adas’s application for an OSC re contempt and therefore there are not ongoing enforcement proceedings. Moreover, as Litrinium recognizes, any automatic stay arises by operation of law, no order or other action by this court is required. Nothing stated in this ruling has any impact on Adas’s efforts to collect his costs pursuant to his memorandum of costs or either motion for attorney fees the court currently has under submission. Those matters are collateral to the judgment and separately appealable, and nonetheless no judgment or amended judgment has yet been entered award any such relief. Litrinium’s counsel is ordered to give notice of this ruling.
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